

The Complete Financial Guide for Young Couples

EXAMPLE:

TOTAL MONTHLY PAY: \$1,500 (NET)

<u>1ST \$750</u>		<u>15TH \$750</u>
1. Tithe	\$ 75	\$ 75
2. Taxes	0	0
3. Housing	500 (mortgage payment)	250 (utilities)
4. Auto	25 (gas)	100 (maintenance, etc.)
5.		
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12.		

THE ENVELOPE SYSTEM

Many couples I have counseled have used the envelope system, and it does work. I don't recommend it for everybody, but for some couples who are working up to keeping a check-book balanced, it's the only plan that will work in the interim. There's a secret to making the envelope system work. For instance, if you have an envelope marked "Entertainment and Recreation"—and you allocate \$75 a month to entertain and recreate—when you go out, you take your "Entertainment and Recreation" envelope with you. You pay from the envelope and put the change back in the envelope. What makes the system work? When you look in the "Entertainment and Recreation" envelope and it's empty, you stop entertaining and recreating for that month. And there is no other way any